

00342

ECONOMICS

(Paper—III)

Full Marks : 100

Time : 3 hours

*The figures in the margin indicate full marks
for the questions*

Answer any **ten** questions

1. Using indifference curve analysis, examine the effect of a fall in price of a good on consumer's equilibrium. How does this relate to the substitution and income effect? 4+6=10
2. Discuss the limitations of Keynesian investment multiplier in a developing economy. 10
3. Critically discuss the marginal productivity theory of distribution. 10
4. Distinguish between Gross Domestic Product (GDP) and Gross Value Added (GVA). Explain the income method of estimating national income. What adjustments are needed to obtain personal income from national income? 2+6+2=10
5. Explain the process of credit creation by commercial banks. How do quantitative methods of credit control of the Central Bank work? 5+5=10

6. "Poverty is multidimensional, but policies remain one-dimensional." Critically examine India's approach to poverty alleviation through this lens. 10
7. Using Musgrave framework, analyze the trade-offs involved in vertical and horizontal fiscal imbalances in India's federal structure. 10
8. Is inflation always a monetary phenomenon? Discuss in the light of the monetarist and structuralist perspectives with contemporary relevance to emerging economies. 10
9. Assess the economic significance for Assam in India's Act East Policy. What hurdles tend to slow down the policy initiatives? 8+2=10
10. Distinguish between fixed and flexible exchange rates. Explain how the equilibrium rate of exchange is determined under flexible exchange rate system. 2+8=10
11. Discuss the problem of market failure in environmental economics. 10
12. Show that Heckscher-Ohlin theory of international trade does not necessarily hold good when factor endowment is defined in physical terms. 10

(3)

13. Write short notes on (any two) : 5×2=10

- (a) Mukhyamantri Atmanirbhar Asom Scheme
- (b) Production Linked Incentive (PLI) Schemes of India
- (c) ASEAN
- (d) BRICS
